Verzasca Axis (ATH-980)

Market-Neutral Digital Asset Carry Trade Strategy

Track Record: Jan 2023 – Apr 2026 (40 Months / 3.3 Years) | **Benchmark:** S&P 500 Total Return

ATHÉNÉE INVESTMENT

CAPITAL INTRODUCTION & THIRD-PARTY MARKETING

CAGR (Net)	Ann. Volatility	Sharpe Ratio	Max Drawdown	Alpha (Ann.)	Beta & Corr.
18.37%	**5.43%**	**3.16**	**-0.77%**	**15.81%**	**0.06 | +0.15**
S&P 500: 22.51%	S&P 500: 12.95%	SPX: 1.64 | Sortino: 46.68	SPX: -8.25% | Calmar: 23.91	t-stat: 4.79	Beta t-stat: 0.92

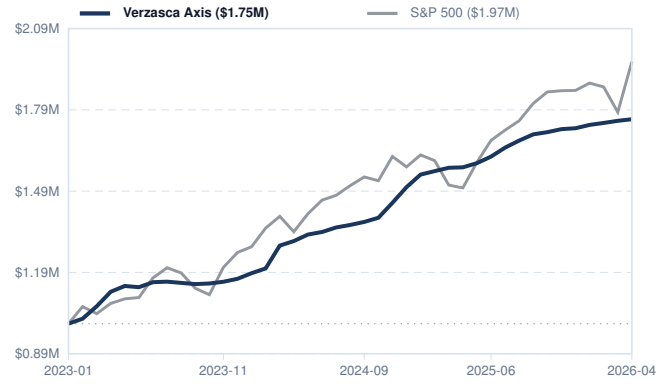
Performance, Risk & Hit Rate Indicators

Indicator	Fund	S&P 500
CAGR (Annualized)	**18.37%**	22.51%
Annualized Mean Return	17.12%	21.28%
Annualized Volatility	5.43%	12.95%
Proxy Sharpe Ratio ($r_f = 0\%$)	**3.16**	1.64
Annualized Sortino Ratio	46.68	3.57
Maximum Drawdown (MDD)	**-0.77%**	-8.25%
Calmar Ratio (CAGR / |MDD|)	23.91	2.73
Cumulative Total Return	75.45%	96.73%
Best / Worst Monthly	+7.00% / -0.39%	+10.49% / -5.63%
Positive Months (Hit Rate)	92.5% (37/40)	70.0% (28/40)
Crisis Hit Rate (Fund > 0 | SPX < 0)	**83.3% (10/12)**	–
Up-Mkt Loss (Fund < 0 | SPX > 0)	3.6% (1/28)	–

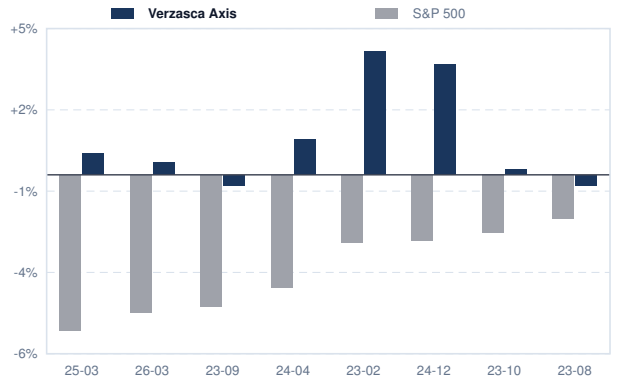
Alpha, Beta, Correlation & Tail Analysis (vs. S&P 500)

Quantitative Metric	Estimate / Diagnostic
Annualized Alpha (α) & t-stat	**15.81% (t=4.79)**
Market Beta (β_{SPX}) & t-stat	0.06 (t=0.92) ($R^2 = 2.2\%$)
Pearson Correlation (r) to S&P 500	**+0.15** (95% Blk CI: [0.01, 0.43])
Spearman Rank Correlation (ρ)	+0.30 (95% Blk CI: [0.09, 0.57])
Upside / Downside Capture Ratio	Up: **0.43** | Down: **-0.41**
Cond. Up-Market (SPX > 0)	$\alpha = 17.4\%,\ \beta = 0.03$
Cond. Down-Market (SPX < 0)	$\alpha = 14.1\%,\ \beta = 0.04$
Tail Corr. (SPX $< Q_1$, Worst 25%)	$r = 0.19,\ \rho = 0.13\ (n = 10)$
Tail Corr. (SPX $< D_1$, Worst 10%)	$r = 0.24,\ \rho = 0.20\ (n = 4)$
Worst 20% SPX Months Avg. Return	Fund: +1.31% vs SPX: -3.50%
Cross-Asset Beta (WTI / BTC)	WTI β: 0.00 | BTC β: 0.04
Ljung-Box Serial Correlation	$p_1 = 0.01,\ p_3 = 0.03$ (Serial Corr.)

Cumulative Growth of $1M USD (Fund vs. S&P 500)



Worst 20% S&P 500 Months



Historical Monthly & Yearly Net Return Matrix (%)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Yearly
2023	1.8%	4.5%	5.1%	1.9%	-0.4%	1.6%	0.1%	-0.4%	-0.4%	0.2%	0.6%	0.9%	**16.6%**
2024	1.8%	1.5%	7.0%	1.3%	1.9%	0.7%	1.3%	0.7%	0.8%	1.1%	4.0%	4.0%	**29.0%**
2025	3.1%	0.8%	0.8%	0.1%	1.0%	1.5%	2.1%	1.6%	1.4%	0.5%	0.7%	0.2%	**14.5%**
2026	0.7%	0.4%	0.5%	0.3%	-	-	-	-	-	-	-	-	**1.9%**

Fund Terms & Commercial Overview

Vehicle:	Commingled Fund	Return Basis:	Net of Fees	Fee Structure:	2% Mgmt / 20% Perf	Liquidity:	Quarter Liquidity
Lock-Up Period:	No Lockup	Min. Investment:	1M USD	Current AUM:	250M	Domicile:	Cayman Islands

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Risk Disclosures, Legal Notice & Quantitative Appendix

Fund Reference: Verzasca Axis (ATH-980) (Jan 2023 - Apr 2026 (40 Months / 3.3 Years))

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Appendix A: Extended Statistical, Bootstrap & Factor Diagnostics

Diagnostic Family	Methodology / Statistical Specification	Empirical Value
Pearson Correlation CI	95% Confidence Interval (IID Bootstrap vs. Moving Block $B = 3$, 1,000 iters)	Std: [-0.12, 0.42] | Blk: [0.01, 0.43]
Spearman Rank Corr. CI	95% Confidence Interval (Rank Monotonic Co-Movement, IID vs. Block $B = 3$)	Std: [-0.01, 0.58] | Blk: [0.09, 0.57]
Worst-Case Co-Dependence	97.5th Percentile Upper-Bound Block Bootstrap Correlation (PSD Projection)	$\rho_{\text{wc}} = 0.43$
Serial Correlation (Lag 1 & 3)	Ljung-Box Q-Statistic p-values testing for return smoothing / illiquidity bias	$p_1 = 0.01,\ p_3 = 0.03$ (Serial Corr.)
Conditional Up-Market OLS	Annualized Alpha & Beta estimated during positive S&P 500 months ($n = 28$)	$\alpha = 17.4\%,\ \beta = 0.03$ ($t_\alpha = 2.72$)
Conditional Down-Market OLS	Annualized Alpha & Beta estimated during negative S&P 500 months ($n = 12$)	$\alpha = 14.1\%,\ \beta = 0.04$ ($t_\alpha = 1.34$)
Commodity Factor (WTI)	OLS Regression against Front-Month WTI Crude Oil Monthly Returns	$\beta = 0.00$ ($t = 0.08$), $\alpha = 17.1\%$
Digital Asset Factor (BTC)	OLS Regression against Bitcoin (BTC-USD) Monthly Returns	$\beta = 0.04$ ($t = 2.30$), $\alpha = 15.0\%$

Appendix B: Quantitative Framework & Indicator Definitions

- **CAGR & Annualized Volatility:** Compound Annual Growth Rate is computed geometrically as CAGR $= \left(\prod_{t=1}^{T}(1 + r_t)\right)^{12/T} - 1$. Annualized Volatility is sample standard deviation scaled by $\sqrt{12}$: $\sigma_{\text{ann}} = \hat{\sigma}_m\sqrt{12}$. Proxy Sharpe Ratio assumes $r_f = 0\%$ ($\bar{r}_{\text{ann}}/\sigma_{\text{ann}}$).
- **Maximum Drawdown (MDD) & Calmar Ratio:** Maximum peak-to-trough decline of cumulative compounded wealth $W_t = \prod_{s\le t}(1 + r_s)$, defined as MDD $= \min_t\left((W_t - \max_{s\le t} W_s)/\max_{s\le t} W_s\right)$. Calmar Ratio is CAGR/|MDD|.
- **OLS Alpha (α), Beta (β) & Capture Ratios:** Estimated via Ordinary Least Squares $r_{\text{fund},t} = \alpha_m + \beta r_{\text{SPX},t} + \varepsilon_t$, where $\alpha_{\text{ann}} = 12 \times \alpha_m$. Upside (Downside) Capture measures the ratio of the fund's mean return to the S&P 500's mean return during positive (negative) S&P 500 months.
- **Tail Correlations & Moving Block Bootstrap:** Tail correlations evaluate linear (r) and rank (ρ) co-movement during S&P 500 drawdowns below the 25th percentile (Q_1) and 10th percentile (D_1). Moving Block Bootstrap ($B = 3$ months) preserves local serial dependencies when constructing 95% confidence intervals.

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